Growth Loop

Output that feeds the next acquisition

PROFESSIONAL DEFINITION

A Growth Loop is a closed, self-reinforcing system in which the output of one cycle of usage becomes the input that drives the next, producing compounding rather than linear growth.

WHO DEVELOPED IT

Articulated by growth practitioners such as those at Reforge (notably Brian Balfour) as a successor to funnel thinking.

WHY IT WAS DEVELOPED

It was developed to capture how durable products grow through reinvested output — content, data, referrals — rather than one-off acquisition.

FIGURE 1 · GROWTH LOOP

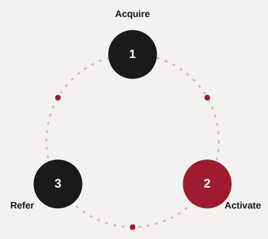

Figure 1. A schematic of the Growth Loop as applied in BARBM312 (illustrative).

HOW IT IS USED

The loop's steps are mapped and the reinvestment mechanism identified; AI is applied where it strengthens the reinvested output.

WHEN IT IS USED

During growth-model design for products with compounding dynamics.

BY WHOM IT IS USED

Growth, product and strategy leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It reframes growth as a reinforcing loop rather than a leaky funnel, focusing effort on the compounding mechanism.

RELATED FRAMEWORKS IN THIS COURSE

- **CAC : LTV Ratio** · Slibrary 8
- **Retention / Churn Cohort** · Slibrary 8
- **Pirate Metrics (AARRR)** · Slibrary 8
- **Net Revenue Retention** · Slibrary 8

SOURCES (HARVARD REFERENCING STYLE)

Balfour, B. (2017) 'Growth loops are the new funnels', Reforge.

Ellis, S. and Brown, M. (2017) Hacking Growth. New York: Currency.